

POTENTIAL CHANGE ORDER

For Owner Review and Approval

DRAFT — FOR PM REVIEW ONLY

PCO No.: 003

Date: June 19, 2026

Project: Johnson Residence Addition

Original Contract Date: March 1, 2026

Address: 47 Maple Street, Lexington, MA 01773

Valid Through: July 10, 2026

SCOPE OF ADDITIONAL WORK

Baseline: The original contract for the Johnson Residence Addition included demolition of existing master bathroom floor tile and preparation of the subfloor surface in anticipation of new finish flooring installation. The contract assumed the existing subfloor sheathing and underlying floor framing to be structurally sound and free of deterioration, requiring no remediation beyond standard surface preparation.

Change: Upon removal of the existing master bathroom tile, Beacon Hill Builders discovered moisture-related rot and structural deterioration affecting the subfloor assembly and underlying floor framing. The scope of this Potential Change Order includes the following additional work: removal and disposal of approximately sixty (60) square feet of deteriorated three-quarter-inch (3/4") plywood subfloor sheathing; furnishing and installation of new 3/4" tongue-and-groove plywood sheathing to replace the removed material, fastened and glued in accordance with applicable code requirements; sistering of four (4) floor joists exhibiting softness and loss of structural integrity, using dimensional lumber of equivalent depth and species, fastened with approved joist hangers and structural fasteners at bearing points; and all associated labor, equipment, and incidental materials required to restore the subfloor assembly to a condition suitable for finish flooring installation.

INCLUSIONS AND EXCLUSIONS

Included in this PCO: All labor for subfloor demolition and disposal; all labor for installation of replacement subfloor sheathing; all labor for sistering of four floor joists; new 3/4" tongue-and-groove plywood sheathing material; dimensional lumber for joist sisters; joist hangers and structural fasteners; equipment rental for floor scraper as required for surface preparation; and general cleanup of the affected work area upon completion.

Excluded from this PCO: Any additional subfloor or framing remediation beyond the sixty (60) square feet and four (4) joists described above. Should field conditions reveal deterioration extending beyond these defined limits, a separate Potential Change Order will be submitted prior to proceeding with additional work. Finish flooring installation is excluded and remains within the original contract scope. Any plumbing, mechanical, or electrical work associated with the master bathroom is excluded. Building permit fees, if required by the Authority Having Jurisdiction for this remediation work, are excluded and

will be addressed under a separate PCO if applicable.

ASSUMPTIONS AND CONDITIONS

1. Access: Continuous and unobstructed access to the master bathroom work area is required for the duration of this work. Owner-supplied furnishings, fixtures, or personal property within or adjacent to the work area shall be cleared prior to commencement.
2. Sequencing: This work must be completed and the subfloor assembly inspected and approved prior to the scheduling of finish flooring installation. Any delay in executing this PCO that impacts the finish flooring subcontractor's mobilization may result in a separate schedule impact claim.
3. Extent of Deterioration: The pricing contained herein is based on the identified affected area of sixty (60) square feet of subfloor sheathing and four (4) floor joists. This price is contingent upon no additional deterioration being discovered once demolition is fully complete. If additional affected material is uncovered, Beacon Hill Builders will notify the Owner immediately and submit a revised or supplemental PCO before proceeding.
4. Existing Conditions: It is assumed that the existing floor framing bears on sound sill plates and rim joists. Remediation of sill plates, rim joists, or any structural members beyond the four joists identified is not included in this PCO.
5. Pricing Validity: Pricing is based on current material and labor costs as of the date of this PCO. See the Validity section below for the expiration of this proposal.

COST SUMMARY

Labor: \$ 2,400.00
Materials: \$ 680.00
Construction Subtotal: \$ 3,080.00
Application Fee (1%): \$ 30.80
Overhead (10%): \$ 308.00
Fee (10%): \$ 308.00
Total PCO Amount: \$ 3,726.80

SCHEDULE IMPACT

This Potential Change Order adds two (2) calendar days to the construction schedule. A revised project completion date will be determined following Owner execution of this PCO and is subject to review of the current project schedule, including any concurrent activities and subcontractor coordination requirements.

CAUSE OF CHANGE

Unforeseen Field Condition: Upon removal of the existing master bathroom tile, concealed moisture damage and structural deterioration of the subfloor sheathing and floor framing were discovered,

conditions that were not visible, disclosed, or reasonably anticipated at the time of original contract execution.

CONTRACT MODIFICATION

This Potential Change Order, when executed by both parties, will modify the original contract dated March 1, 2026, between Beacon Hill Builders and the Owner. The contract sum and, where applicable, the contract time shall be adjusted as set forth herein. All other terms and conditions of the original contract remain in full force and effect.

VALIDITY

This proposal is valid for 21 days from the date of issue. If not executed within this period, pricing is subject to revision based on prevailing material and labor costs at the time of execution.

AUTHORIZATION

No work described in this Potential Change Order shall commence until this document has been executed (signed by both parties). Verbal or written direction to proceed without a signed PCO, including any on-site direction given during the course of construction, constitutes authorization for Time and Materials billing per the terms of the original contract. Beacon Hill Builders notes for the record that verbal on-site direction was received from the Owner on June 19, 2026; however, this PCO must be formally executed before work proceeds.

Submitted by:

Beacon Hill Builders

Signature: _____

Name: _____

Title: _____

Date: _____

Accepted by Owner:

Signature: _____

Name: _____

Date: _____

DRAFT — FOR PROJECT MANAGER REVIEW PRIOR TO ISSUANCE

Contractor: _____ Date: _____

Print Name: _____

Owner: _____ Date: _____

Print Name: _____